PRA Table 4C. Estimated Paperwork Burden Effects of the Attestation Requirement Over the First Nine Years of Compliance

Collection of Information: Forms S-1, F-1, S-4, F-4, S-11, 10, 20-F, and 10-K						
Assurance Costs for LAFs				**Assurance Costs for Non-Exempt AFs**		
Years 1-4	**Years 5-8**	**Year 9**	**9-Year Average[1]**	**Years 1-5**	**Years 6-9**	**9-Year Average[2]**
$0	$50,000	$150,000	**$38,889**	$0	$50,000	**$22,222**

Notes:
[1] 9-Year Average values for this column are calculated as follows: (((Years 1-4 value for LAFs) x 4) + ((Years 5-8 value for LAFs) x 4) + (Year 9 value for LAFs)) / 9.
[2] 9-Year Average values for this column are calculated as follows: (((Years 1-5 value for non-exempt AFs) x 5) + ((Years 6-9 value for non-exempt AFs) x 4)) / 9.

2. Estimated Number of Affected Respondents

We estimate that the final rules will change the paperwork burden per response for each affected collection of information. However, we do not believe that the above-described paperwork burdens will affect all the filers for each collection of information. Because the final rules include materiality qualifiers and otherwise will not require disclosure in all instances from all registrants, but rather depend on the registrant's particular facts and circumstances, we estimate that only a certain percentage of filers of each form will be required to provide the climate-related disclosures. We have based the estimated percentages on third-party surveys of current climate-related disclosure practices, commenters' estimates of companies likely to disclose climate-related risks and metrics, and staff estimates of current climate-related disclosure practices.[3205]

The following PRA Table 5 provides the percentage of filers for each collection of information that we estimate will be affected by the final rules.

[3205] In particular, we have considered the percentages of surveyed companies, both issuers with larger market capitalization and all other registrants, providing climate-related disclosures as reported by the TCFD in TCFD, 2022 Status Report (Oct. 2022). That report included climate-related data from companies with a market capitalization ranging from greater than $12.2 billion to less than $3.4 billion. In addition, we have considered aspects of the third-party surveys discussed in section IV, such as the 2021 S&P Global Corporate Sustainability Assessment and estimates of climate-related risk and metrics reporting provided by commenters, such as Amer. for Fin. Reform and Public Citizen (Oct. 26, 2023). That commenter included climate-related data pertaining to Fortune 1000 companies with individual annual revenues over $2 billion. However, none of the estimates considered included companies that directly matched the registrants that will be affected by the final rules. Therefore, the estimated percentages of LAFs, AFs, and all other registrants affected by the final rules, as provided in the table below, may underestimate or overestimate the actual number of affected respondents.

PRA Table 5. Estimated Percentage of Filers for Each Collection of Information That Will Be Affected By the Final Rules

Form	No. of Respondents[1]				Disclosure Item	Percentage of Respondents Affected[2]			No. of Affected Respondents		
	Total	LAFs	Non-Exempt AFs	SRCs, EGC, and NAFs		LAFs	Non-Exempt AFs	SRCs, EGCs, and NAFs	LAFs	Non-Exempt AFs	SRCs, EGCs, and NAFs
Form S-1	**898**	296	45	557	Governance, strategy, risk management	65%[3]	45%	30%	192	20	167
					Scenario analysis	25%	20%	10%	74	9	56
					Targets	50%	35%	25%	148	16	139
					Scope 1 and 2 emissions	65%	35%	20%	192	16	111
					Financial statement disclosures	50%	35%	25%	148	16	139
					Average No. of Affected Respondents:				**151**	**15**	**123**
Form F-1	**66**	22	7	37	Governance, strategy, risk management	65%	45%	30%	14	3	11
					Scenario analysis	25%	20%	10%	6	1	4
					Targets	50%	35%	25%	11	2	9
					Scope 1 and 2 emissions	65%	35%	20%	14	2	7
					Financial statement disclosures	50%	35%	25%	11	2	9
					Average No. of Affected Respondents:				**11**	**2**	**8**
Form S-4	**588**	194	29	365	Governance, strategy, risk management	65%	45%	30%	126	13	110
					Scenario analysis	25%	20%	10%	49	6	37
					Targets	50%	35%	25%	97	10	91
					Scope 1 and 2 emissions	65%	35%	20%	126	10	73
					Financial statement disclosures	50%	35%	25%	97	10	91
					Average No. of Affected Respondents:				**99**	**10**	**80**
Form F-4	**39**	13	4	22	Governance, strategy, risk management	65%	45%	30%	8	2	7
					Scenario analysis	25%	20%	10%	3	1	2
					Targets	50%	35%	25%	7	1	6
					Scope 1 and 2 emissions	65%	35%	20%	8	1	4
					Financial statement disclosures	50%	35%	25%	7	1	6
					Average No. of Affected Respondents:				**7**	**1**	**5**
Form S-11	**67**	22	3	42	Governance, strategy, risk management	65%	45%	30%	14	1	13
					Scenario analysis	25%	20%	10%	6	1	4

					Targets	50%	35%	25%	11	1	11
					Scope 1 and 2 emissions	65%	35%	20%	14	1	8
					Financial statement disclosures	50%	35%	25%	11	1	11
					Average No. of Affected Respondents:				**11**	**1**	**9**
Form 10	**216**	71	11	134	Governance, strategy, risk management	65%	45%	30%	46	5	40
					Scenario analysis	25%	20%	10%	18	2	13
					Targets	50%	35%	25%	36	4	34
					Scope 1 and 2 emissions	65%	35%	20%	46	4	27
					Financial statement disclosures	50%	35%	25%	36	4	34
					Average No. of Affected Respondents:				**36**	**4**	**29**
Form 20-F	**729**	241	80	408	Governance, strategy, risk management	65%	45%	30%	157	36	122
					Scenario analysis	25%	20%	10%	60	16	41
					Targets	50%	35%	25%	121	28	102
					Scope 1 and 2 emissions	65%	35%	20%	157	28	82
					Financial statement disclosures	50%	35%	25%	121	28	102
					Average No. of Affected Respondents:				**123**	**27**	**90**
Form 10-K	**8,292**	2,736	415	5,141	Governance, strategy, risk management	65%	45%	30%	1,778	187	1,542
					Scenario analysis	25%	20%	10%	684	83	514
					Targets	50%	35%	25%	1,368	145	1,285
					Scope 1 and 2 emissions	65%	35%	20%	1,778	145	1,028
					Financial statement disclosures	50%	35%	25%	1,368	145	1,285
					Average No. of Affected Respondents:				**1,395**	**141**	**1,131**

Notes:

[1] The number of respondents for each group of registrants is based on the approximate percentage of respondents in 2022 that were LAFs, non-exempt AFs, and all other registrants (SRCs, EGCs, and NAFs). As discussed in Section IV, the number of domestic registrants and foreign private issuers affected by the final rules is estimated as the number of companies that filed a unique Form 10-K or Form 20-F during calendar year 2022, excluding asset-backed securities issuers. Of domestic respondents, approximately 33% were LAFs, 5% were non-exempt AFs, and 62% were all other registrants (SRCs, EGCs, and NAFs). Of foreign respondents, approximately 33% were LAFs, 11% were non-exempt AFs, and 56% were all other registrants (SRCs, EGCs, and NAFs).

[2] All percentages for LAFs, non-exempt AFs, and all other registrants (SRCs, EGCs, and NAFs) rounded to nearest 5%.

[3] For example, according to the TCFD 2022 Status Report, an average of 48% of the largest companies provided disclosures related to governance, strategy, and risk management (excluding scenario analysis), 68% of LAFs provided some climate-related disclosures in Commission filings in 2022 as discussed in Section IV above, and 73% of Fortune 1000 companies will likely be required to disclose their climate risks and strategies pursuant to recent California law, according to one commenter. *See* letter from Amer. for Fin. Reform, Public Citizen, and Sierra Club (Oct. 26, 2023). 48 + 68 + 73 = 189; 189/3 = 63, which we have rounded up to 65%.

3. Summary of the Estimated Burden Hour and Cost Increases Resulting from the Final Rules

The following two tables provide:

- The calculation of the incremental and aggregate change in burden hour and professional cost estimates of current responses resulting from the final rules (PRA Table 6); and
- The program change and total requested change in paperwork burden for the final rules (PRA Table 7).

PRA Table 6. Calculation of the Incremental and Aggregate Change in Burden Hour and Cost Estimates of Current Responses Resulting from the Final Rules[1]

Form	Filed By	Average Number of Affected Respondents (From PRA Table 5)	Average Internal Burden Hour Increase per Affected Respondent (From PRA Table 4A)	Aggregate Internal Burden Hour Increase for Affected Respondents	Average Professional Cost Increase per Affected Respondent (From PRA Table 4B)	Aggregate Professional Cost Increase for Affected Respondents	Average Assurance Cost Increase per Affected Respondent (From PRA Table 4C)	Aggregate Assurance Cost Increase for Affected Respondents	Aggregate Professional and Assurance Cost Increase for Affected Respondents
		(A)	(B)	(C) = (A) x (B)	(D)	(E) = (A) x (D)	(F)	(G) = (A) x (F)	(H) = (E) + (G)
Form S-1	LAFs	151	379	57,252	$501,750	$75,744,180	$38,889	$5,870,667	$81,614,847
	Non-Exempt AFs	15	375	5,738	$496,167	$7,591,350	$22,222	$340,000	$7,931,350
	SRCs, EGCs, and NAFs	123	340	41,688	$450,083	$55,153,212	$0	$0	$55,153,212
	Total	**289**		**104,678**		**$138,488,742**		**$6,210,667**	**$144,699,408**
Form F-1	LAFs	11	379	4,255	$501,750	$5,629,635	$38,889	$436,333	$6,065,968
	Non-Exempt AFs	2	375	893	$496,167	$1,180,877	$22,222	$52,889	$1,233,766
	SRCs, EGCs, and NAFs	8	340	2,769	$450,083	$3,663,678	$0	$0	$3,663,678
	Total	**22**		**7,917**		**$10,474,190**		**$489,222**	**$10,963,412**
Form S-4	LAFs	99	379	37,523	$501,750	$49,643,145	$38,889	$3,847,667	$53,490,812
	Non-Exempt AFs	10	375	3,698	$496,167	$4,892,203	$22,222	$219,111	$5,111,314
	SRCs, EGCs, and NAFs	80	340	27,318	$450,083	$36,141,692	$0	$0	$36,141,692
	Total	**189**		**68,539**		**$90,677,040**		**$4,066,778**	**$94,743,818**
Form F-4	LAFs	7	379	2,514	$501,750	$3,326,603	$38,889	$257,833	$3,584,436
	Non-Exempt AFs	1	375	510	$496,167	$674,787	$22,222	$30,222	$705,009
	SRCs, EGCs, and NAFs	5	340	1,647	$450,083	$2,178,403	$0	$0	$2,178,403
	Total	**13**		**4,671**		**$6,179,793**		**$288,056**	**$6,467,848**
Form S-11	LAFs	11	379	4,255	$501,750	$5,629,635	$38,889	$436,333	$6,065,968
	Non-Exempt AFs	1	375	383	$496,167	$506,090	$22,222	$22,667	$528,757
	SRCs, EGCs, and NAFs	9	340	3,143	$450,083	$4,158,770	$0	$0	$4,158,770
	Total	**21**		**7,781**		**$10,294,495**		**$459,000**	**$10,753,495**
Form 10	LAFs	36	379	13,733	$501,750	$18,168,368	$38,889	$1,408,167	$19,576,534
	Non-Exempt AFs	4	375	1,403	$496,167	$1,855,663	$22,222	$83,111	$1,938,774

	SRCs, EGCs, and NAFs	29	340	10,029	$450,083	$13,268,457	$0	$0	$13,268,457
	Total	**69**		**25,164**		**$33,292,488**		**$1,491,278**	**$34,783,765**
Form 20-F	LAFs	123	379	46,614	$501,750	$61,670,093	$38,889	$4,779,833	$66,449,926
	Non-Exempt AFs	27	375	10,201	$496,167	$13,495,733	$22,222	$604,444	$14,100,178
	SRCs, EGCs, and NAFs	90	340	30,536	$450,083	$40,399,480	$0	$0	$40,399,480
	Total	**240**		**87,351**		**$115,565,306**		**$5,384,278**	**$120,949,584**
Form 10-K	LAFs	1,395	1,138	1,587,578	$167,250	$233,373,960	$38,889	$54,264,000	$287,637,960
	Non-Exempt AFs	141	1,125	158,751	$165,389	$23,336,372	$22,222	$3,135,556	$26,471,928
	SRCs, EGCs, and NAFs	1,131	1,021	1,154,316	$150,028	$169,684,417	$0	$0	$169,684,417
	Total	**2,667**		**2,900,645**		**$426,394,749**		**$57,399,556**	**$483,794,305**

Notes:
[1] All numbers rounded to nearest whole number.

PRA Table 7. Requested Change in Paperwork Burden for the Final Rules

Form	Current Burden, as Adjusted[1]			Program Change			Requested Change in Burden		
	Current Annual Responses (From PRA Table 5)	Current Internal Burden Hours	Current External Cost Burden, as Adjusted (From PRA Table 1)[1]	No. of Affected Responses (From PRA Table 6)	Change in Internal Burden Hours (From PRA Table 6)	Change in External Costs (Professional and Assurance Costs) (From PRA Table 6)	Annual Responses	Internal Burden Hours	External Cost Burden
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H) = (B) + (E)	(I) = (C) + (F)
Form S-1	898	141,978	$261,023,465	289	104,678	$144,699,408	898	246,656	$405,722,873
Form F-1	66	26,571	$48,195,563	22	7,917	$10,963,412	66	34,488	$59,158,975
Form S-4	588	560,988	$1,013,408,069	189	68,539	$94,743,818	588	629,527	$1,108,151,886
Form F-4	39	13,999	$25,520,138	13	4,671	$6,467,848	39	18,670	$31,987,986
Form S-11	67	12,101	$22,185,252	21	7,781	$10,753,495	67	19,882	$32,938,747
Form 10	216	10,821	$19,277,232	69	25,164	$34,783,765	216	35,985	$54,060,997
Form 20-F	729	479,303	$864,800,138	240	87,351	$120,949,584	729	566,654	$985,749,721
Form 10-K	8,292	13,988,811	$2,753,391,779	2,667	2,900,645	$483,794,305	8,292	16,889,456	$3,237,186,084
Total		**15,234,572**	**$5,007,801,633**		**3,206,746**	**$907,155,635**		**18,441,318**	**$5,914,957,268**

Notes:
[1] Current cost burden updated to reflect change in hourly rate of the costs of outside professionals to $600/hr., as reflected in PRA Table 1.

VI. FINAL REGULATORY FLEXIBILITY ACT ANALYSIS

The Regulatory Flexibility Act ("RFA") requires the Commission, in promulgating rules under section 553 of the Administrative Procedure Act,[3206] to consider the impact of those rules on small entities. We have prepared this Final Regulatory Flexibility Analysis ("FRFA") in accordance with section 604 of the RFA.[3207] An Initial Regulatory Flexibility Analysis ("IRFA") was prepared in accordance with the RFA and was included in the Proposing Release.[3208]

A. Need for, and Objectives of, the Final Amendments

The final amendments add a new subpart 1500 to Regulation S-K and a new Article 14 to Regulation S-X, which will require registrants to provide certain climate-related disclosures in their Securities Act and Exchange Act registration statements and Exchange Act reports. These requirements will elicit more complete and useful information about the impacts of climate-related risks on registrants to improve the consistency, comparability, and reliability of climate-related information for investors. As required by the RFA, this FRFA describes the impact of the final amendments on small entities. The need for, and objectives of, the final rules are described in sections I and II above. We discuss the economic impact and potential alternatives to the amendments in section IV, and the estimated compliance costs and burdens of the amendments for purposes of the PRA in section V.

3206 5 U.S.C. 553.

3207 5 U.S.C. 604.

3208 Proposing Release at section VI.

B. Significant Issues Raised by Public Comments

In the Proposing Release, the Commission requested comment on any aspect of the IRFA, and particularly on the number of small entities that would be affected by the proposed amendments, the existence or nature of the potential impact of the proposed amendments on small entities discussed in the analysis, how the proposed amendments could further lower the burden on small entities, and how to quantify the impact of the proposed amendments.

We received one comment letter on the IRFA from the U.S. Small Business Administration's Office of Advocacy ("Advocacy").[3209] Advocacy's letter expressed concern that "the IRFA does not adequately describe the regulated small entities and potential impacts on those entities."[3210] In the Proposing Release, the Commission estimated that the proposed amendments would apply to 1,004 registrants that may be considered small entities.[3211] Advocacy's comment letter stated that this estimate did "not provide additional information, such as the North American Industry Classification System ("NAICS") classifications of the affected entities" and did not "break down the affected entities into smaller size groups (e.g., based on total assets)."[3212]

The comment letter from Advocacy also addressed the discussion of alternatives within the IRFA and the Commission's explanation of why it did not ultimately propose such alternatives. Advocacy also stated that "[t]he RFA requires that an IRFA provide significant,

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[3209] *See* letter from U.S. Small Business Administration Office of Advocacy (June 17, 2022) ("Advocacy"). Some commenters, while not specifically addressing the IRFA, did address the impact of the proposed rules on SRCs. *See* letters from Soc. Corp. Gov. (Nov. 11, 2022); BIO; FFAC; CCR; HDA; ICI; Jones Day; NACCO; NAHB; Rho Impact; CBD; Grant Eisenhofer; ICBA; and Williams Cos.

[3210] *See* letter from Advocacy.

[3211] Proposing Release at 16617.

[3212] *See* letter from Advocacy.